factor risks taken by NBIM and a repeat of the 2008–2009 controversy can be averted. At the very least, the public will be better informed about the risks of such an event.

David Blitz at Robeco, an asset management firm, and other practitioners have already dubbed the passive harvesting of dynamic factors "the Norway model."[56] In the public presentation of the Professors' Report, I said factor investing is "passive but dynamic" and "index but active." Factor investing aggressively pursues passive investments. It is a way of accessing returns based on a strong historical and academic foundation in a cost-effective manner. It is scalable. It can be done simply and without the agency issues and information problems of illiquid asset markets. It allows investors to pay only for active management that produces results unavailable passively. Many investors might consider following Norway and aggressively harvest dynamic factor risk premiums in a cheap, passive way.

[56] Blitz, D., "Strategic Allocations to Factor Premiums: The Next Big Thing?" Robeco Insight, October 7, 2012. See also Chambers, Dimson, and Ilmanen (2011).